to be your best™

Pension – Frequently Asked Questions

Will the pension scheme with your previous employer continue?

If you were previously in a local government pension scheme, OCS will enter into an admissions agreement with the local authority to continue administering your pension scheme. This can be a lengthy process, but OCS will commence pension deductions from the start of your employment.

If you were in an NHS Pension scheme, OCS will apply for a direction order to continue membership with the NHS pension scheme on your behalf. These applications can also be a lengthy process before approval by the Department of Healthcare. Until this is approved, we cannot pay over your pension contributions and update your account. We will hold these funds until approved.

However, if you were in a different pension scheme, you will join OCS Pension scheme with Legal & General. Contribution levels are protected by the Transfer of Undertaking (Protection of Employment) Regulations 2006. You will commence in this pension scheme from your first pay period. If you were previously paying through salary sacrifice, we will make an assessment to check that this will not take you to National Minimum Wage after deductions. If this does, we will place you in a Net pension scheme arrangement.

What is Pension Auto-Enrolment?

Legislation requires employers to enrol their colleagues into a workplace pension scheme. The Government is ensuring employers enrol their workers automatically into a pension at work, so it is easier for people to start saving. Colleagues can opt out if they want to, but if they stay in, they will have your own pension which will be paid when they retire.

Will all colleagues be auto enrolled into the OCS pension scheme?

Colleagues will be auto enrolled if you:

- Are not currently member of a qualifying OCS scheme; and
- earn over £10,000 a year (£833 a month or £192 a week); and
- are aged 22 or over; and
- are under state pension age.

There are options for colleagues aged between 16-21, and State Pension age and 74, to opt-in to the pension scheme. For further information please contact aepension@ocs.co.uk

Is it compulsory for colleagues to join this scheme?

Yes, if a colleague meets the criteria, it is a legal requirement for us to auto-enrol him/her into a workplace pension scheme. However, colleagues will have the opportunity to opt out once they have been enrolled.

If a colleague is eligible, when will they be auto enrolled?

We will assess an individual each payroll period and if they meet criteria, we will invite them into the scheme with contributions starting 3 months after the assessment (postponement period).

How will auto enrolment work in practice?

All workers are assessed for eligibility at the end of the 1st pay period; once assessed as Eligible you will receive an email or letter from Legal & General notifying you when your enrolment date will be. All other workers will continue to be assessed for ongoing monitoring until they become eligible. NB: Eligible Job Holders can opt-in to the Pension during this 3-month postponement window by contacting aepension@ocs.co.uk.

Shortly before their enrolment date (first date after postponement), Eligible Job Holders are issued with their enrolment pack (from L&G) and have the opportunity to opt-out during their 30 day opt-out window.

At the end of the postponement period, a further assessment on earnings in period 4 will be made to check eligibility. If they are still Eligible, they will make their first pension contribution. If they are non-eligible in month 4, they can opt-in to the pension scheme by contacting aepension@ocs.co.uk . If a colleague who has opted out but is not an Eligible Job Holder at the end of the waiting period, will be put back into the 'pot' for ongoing assessment and will be re-enrolled if they meet the joining criteria in further pay periods. This reassessment will cease if they opt out during a period when they are eligible through the joining criteria.

As the 30 day opt-out window goes slightly past their payday, colleagues who haven't digested the communications and who see a deduction will still have a few days to opt out and still receive a refund. This must be done through Legal & General, not through OCS.

E.g., A new colleague who started on 1st April:

1st April -30th April paid on 28th April = 1st pay period and assessed as 'Eligible'

1st April -30th June = Three-month postponement (inclusive of first pay period)

1st July = (Enrolment date) colleague will commence 30-day opt out period

28th July = Re-assessed for eligibility.

- If eligible in month 4 assessment, 1st pension contributions will commence.
- If non eligible, will be reassessed the following month for auto-enrolment.
- In non-eligible but wishes to join the pension scheme, they can opt-in by contacting aepension@ocs.co.uk

What is the cost of membership for colleagues?

This will depend on how much a colleague earns, as they will contribute 5% of gross qualifying earnings. Qualifying earnings is the threshold of earnings which is set by the Government and means that the percentage does not apply to all of a colleague's salary, but on what they earn in total over a minimum and up to a maximum limit (see below for rates in April 2023).

- £6,240 is the lower limit of the qualifying earnings (£520 per month and £120 per week)
- £50,270 is the upper limit of the qualifying earnings (i.e., amount contributions can be paid up to) (£4,189 per month and £967 per week)

These rates will be reviewed at the start of each tax year.

Do the colleague's contributions attract tax relief through my payslip?

No, contributions will be taken net which means they are taken after you have paid Tax and National Insurance on your earnings. However, we then deduct 4% contributions through the payslip and Legal & General add the 20% back on top of your contributions (added at Legal & General onto your fund) to make this 5%.

However, if your earnings are above national minimum wage, you can choose to have your pension contributions through Salary sacrifice which means they are taken from your Gross pay resulting in you not paying Tax and National Insurance on the value of your contributions. This will be 5%

If you wish to pay pension through salary sacrifice, please contact aepension@ocs.co.uk

What is defined as Qualifying Earnings (QE) for the A-E scheme?

All payments that are taxable are defined as QE's; example – basic pay, overtime, allowances, commission, bonus's and statutory sickness/maternity etc. Payments of expenses and leaving payments like redundancy are non-QE's.

What will OCS pay into my Pension?

We will pay 3% of qualifying earnings in line with legislation.

Who is the administrator of the scheme?

The administrator of the scheme used for Auto-enrolment is Legal & General.

How can colleagues opt out?

Once a colleague has been auto enrolled, there will be the opportunity to opt out of the scheme. Legal & General will send colleagues details on how to opt out (either by email or letter), when they confirm they have been enrolled. The legislation states that an colleague has to be enrolled before they can opt out and we are restricted from allowing colleagues to advise us in advance. Therefore, opt out instructions can only be received and acted upon by Legal & General and will only be available to a colleague through a 30 day opt out window which commences from the date L&G send out the enrolment pack. If you opt out before your payday, as part of legislation we will have to take the first pension deduction and process the opt out after. We will then refund your pension contribution in the next payslip – this will appear as a negative.

How long will colleagues have to decide that they wish to opt-out of auto enrolment?

Once a colleague has received confirmation from Legal & General that have been auto enrolled, they will have 30 days from the date that the opt out confirmation was sent. How to opt out will be detailed on the email/letter from Legal & General. It will state the expiry date of the opt out period.

Can colleagues ask OCS for an opt-out form?

If a colleague wishes to opt out during the 30-day opt-out window, they must opt out through Legal & General (as above). After the 30-day window, they must contact OCS Pension department to request to opt out by emailing aepension@ocs.co.uk. However, they will not receive a refund of any previous contributions taken. Once the form has been completed and returned, we will then opt out in the next pay period.

Once a colleague opts out when will they receive a refund of their contributions?

Colleagues will receive a refund of their contributions in the next payroll run following receipt of an opt-out notice by Legal & General. If colleagues opt out of the scheme after the one-month period they will not receive a refund of colleague contributions but we will stop any further deductions. N.B. This will appear on your payslip as a negative on the deductions.

If a colleague decides to opt-out, will we auto enrol them again at some point in the future? If so, how regularly?

Yes, as a requirement of the legislation colleagues who have opted out will be re-enrolled every 3 years, if they continue to meet the criteria for auto enrolment. This will happen in May 2025, 2028, 2031 etc.

If you were auto enrolled in the 12 months prior to the reenrolment date of May 2025, then you will be excluded from re-enrolment until the next cycle.

Where can I find further information regarding the Legal & General Pension scheme?

Please see the link below. https://www.legalandgeneral.com/workplace/_landg/wpp-pre-ae/first-step/about-auto-enrolment/

You will be able to access your own personal log in to view your pension statement using this link:

https://www.legalandgeneral.com/existing-customers/my-account-login/